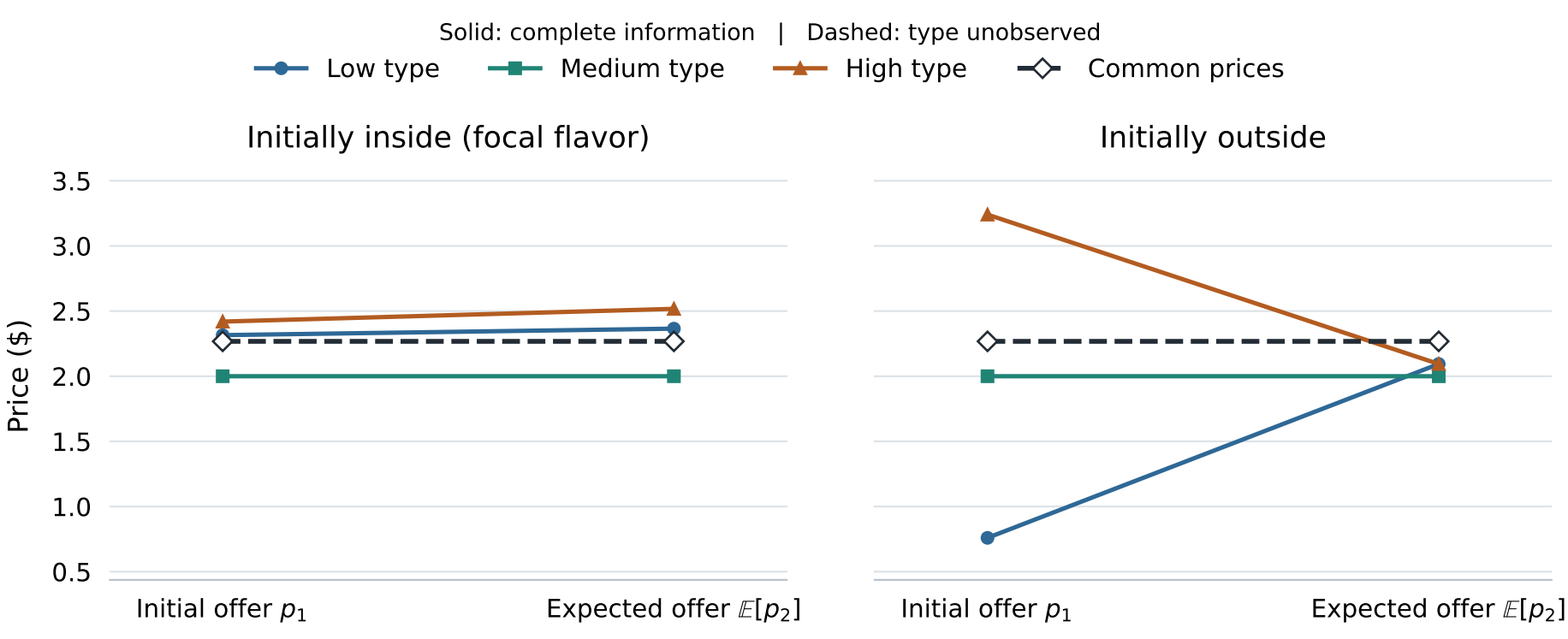
Solid: complete information | Dashed: type unobserved
Low type
Medium type
High type
Common prices
Initially inside (focal flavor)
Initially outside
Price ($)
3.5
3.0
2.5
2.0
1.5
1.0
0.5
Initial offer p_1
Expected offer $\mathbb{E}[p_2]$
Initial offer p_1
Expected offer $\mathbb{E}[p_2]$